

MERCHANT ACCEPTANCE OF EBT TRANSACTIONS
TERMS AND CONDITIONS

PARTIES:

PNC Merchant Services (“Service Provider”)

RIYA CONVENIENCE LLC (“Merchant”)

BACKGROUND

1. SERVICE PROVIDER offers electronic interfaces to Electronic Benefits Transfer (“EBT”) networks for the processing of cash payments or credits to or for the benefit of benefit recipients (“Recipients”); and
2. MERCHANT wishes to contract for the services offered through SERVICE PROVIDER for the purposes of offering EBT benefits to Recipients under the terms and conditions set forth below.

1. Agreement to Issue Benefits

- a. SERVICE PROVIDER will provide settlement and switching services for various Point-of-Sale transactions initiated through MERCHANT (the “Services”) for the authorization of the issuance of the United States Department of Agriculture, Food and Nutrition Services (“FNS”) food stamp benefits (“FS Benefits”) and/or government delivered cash assistance benefits (“Cash Benefits,” with FS Benefits, “Benefits”) to Recipients through the use of a state-issued card (“EBT Card”).
- b. Subject to the terms and conditions hereof, MERCHANT agrees to issue Benefits during MERCHANT’s normal business hours.
- c. If MERCHANT has agreed to issue Cash Benefits and will provide cash back or cash only transactions, MERCHANT agrees to maintain adequate cash on hand to issue confirmed Cash Benefits and will issue Cash Benefits to Recipients in the same manner and to the same extent cash is provided to other customers of MERCHANT. MERCHANT will not require, and will not in its advertising suggest, that any Recipient must purchase goods or services at MERCHANT’s facilities as a condition to receiving Cash Only from Cash Account for such Recipient, unless such condition applies to other customers as well. MERCHANT will not designate special checkout lanes restricted to use by Recipients, provided that if MERCHANT designates special checkout lanes for electronic debit or credit cards and/or other payment methods such as checks or other than cash, Recipients may be directed to such lanes so long as other customers are directed there as well.
- d. MERCHANT agrees to give prompt notice to SERVICE PROVIDER of any planned cessation of services, or inability to comply with the terms of this Agreement.

2. Issuance of Benefits

- a. MERCHANT agrees to issue Benefits to Recipients in accordance with the procedures specified in all documentation and user guides provided to MERCHANT by SERVICE PROVIDER, as amended from time-to-time (the “User Guides”) and pursuant to applicable law. MERCHANT will provide each Recipient a receipt for each Benefit issuance. MERCHANT will be solely responsible for MERCHANT’s issuance of Benefits other than in accordance with authorizations.
- b. MERCHANT will issue FS and/or Cash Benefits to Recipients, in accordance with the procedures set forth in the User Guides, in the amount authorized through its point-of-sale (“POS”) terminal, with personal identification number (“PIN”) pad and printer (“Equipment”), upon presentation by Recipient of an EBT Card and Recipient entry of a valid PIN. MERCHANT agrees that in the event of the failure of the Equipment to print Benefit issuance information as approved and validated as a legitimate transaction,

MERCHANT will comply with the procedures set forth in the User Guides for authorization of Benefits in such instance.

- c. MERCHANT agrees to comply with all applicable laws, rules and regulations in the performance of its obligations under this Agreement, including without limitation, laws pertaining to delivery of services to benefit recipients and benefit recipient confidentiality, and the federal Civil Rights Act of 1964, Rehabilitation Act of 1973, Americans with Disabilities Act of 1990, Clean Air Act, Clean Water Act, Energy Policy and Conservation Act, Immigration Reform and Control Act of 1986, and regulations issued by the Department of Agriculture pertaining to Food Stamp Program.
- d. MERCHANT agrees to comply with the procedures set forth in the User Guides as well as the Quest Operating Rules (the "Rules"), as amended from time-to-time, issued by the National Automated Clearing House Association as approved by the Financial Management Service of the U.S. Treasury Department, as necessary, and other such rules and regulations as may be applicable to the issuance of Benefits by MERCHANT hereunder. Unless otherwise defined herein, all capitalized terms shall have the meanings ascribed them in the Rules. MERCHANT agrees to comply with all additional procedures specified by the State, regarding lost EBT Cards, forgotten PINs, discrepancies in benefits authorized and similar matters by providing Recipients with information such as telephone numbers and addresses of the State or other appropriate agencies.
- e. MERCHANT will not accept any EBT Card for any purpose other than the issuance of Benefits, including without limitation acceptance of any EBT Card as security for repayment of any Recipient obligation to MERCHANT. In the event of any violation of this provision, MERCHANT will be obligated to reimburse the State for any Benefits unlawfully received by either Recipient of MERCHANT to the extent and SERVICE PROVIDER permitted by law.

3. Issuance Records

- a. MERCHANT will retain all EBT-related records (including but not limited to manual sales drafts) for three (3) years following Benefit issuance, or for such additional period as may be required by law.
- b. MERCHANT agrees to make all EBT-related records available for audit upon request to representatives of the State or its EBT Service Provider, or other authorized State or Federal government agency during normal business hours.
- c. To assure compliance with this Agreement, the State, its EBT Service Provider, or other authorized State or Federal government agency, will at all times, upon advance notice except in the case of suspected fraud or other similar activity, have the right to enter, during normal business hours, MERCHANT's premises to inspect or evaluate any work performed under this Agreement, or to obtain any other information required to be provided by MERCHANT or otherwise related to this Agreement.

- 4. **Required Licenses.** If MERCHANT issues FS Benefits under this Agreement, MERCHANT represents and warrants to SERVICE PROVIDER that MERCHANT is a FNS authorized Merchant and is not currently disqualified or withdrawn from redeeming food stamp coupons or otherwise disqualified or withdrawn by FNS. MERCHANT agrees to secure and maintain at its own expense all necessary licenses, permits, franchises, or other authorities required to lawfully effect the issuance and distribution of Benefits under this Agreement, including without limitation, any applicable franchise tax certificate and non-governmental contractor's certificate, and covenants that MERCHANT will not issue Benefits at any time during which MERCHANT is not in compliance with the requirements of any applicable law.

5. Term and Termination

- a. If MERCHANT is disqualified or withdrawn from the FS Program, MERCHANT's authority to issue FS Benefits will be terminated contemporaneously therewith. Such disqualification or withdrawal will be deemed a breach of this Agreement with respect to MERCHANT's authority to issue Cash Benefits and, in the event of such disqualification, SERVICE PROVIDER shall have the right to immediately terminate this Agreement.
- b. With respect to the issuance of Cash Benefits only, MERCHANT's authority to issue Cash Benefits may be suspended or terminated immediately by SERVICE PROVIDER, the State or its EBT Service Provider, in

its sole discretion, effective upon delivery of a notice of suspension or termination specifying the reasons for such suspension or termination if there shall be (i) any suspension, injunction, cessation, or termination of the EBT Service Provider's authority to provide EBT services to the State; (ii) failure by MERCHANT, upon not less than thirty (30) days prior written notice, to cure any breach by MERCHANT of the provisions of these terms and conditions, including without limitation, MERCHANT's failure to support the issuance of Benefits during MERCHANT's normal business hours consistent with MERCHANT's normal business practices, MERCHANT's failure to comply with issuance procedures, MERCHANT's impermissible acceptance of an EBT Card, or MERCHANT's disqualification or withdrawal from the FS Program; or (iii), based on the State's or its EBT Service Provider's investigation of the relevant facts, evidence that MERCHANT or any of its agents or employees is committing, participating in, or has knowledge of fraud or theft in connection with the dispensing of Benefits. In the event that MERCHANT fails to cure any breach as set forth above, MERCHANT may appeal such suspension or termination to the State for determination in its sole discretion.

- c. In the event that MERCHANT's authority to issue Benefits is suspended or terminated by the State or its EBT Service Provider, and MERCHANT successfully appeals such suspension or termination to the State or its EBT Service Provider, SERVICE PROVIDER shall be under no obligation to MERCHANT to reinstate this Agreement.
- d. This Agreement will terminate immediately in the event MERCHANT's Processing Service Agreement with SERVICE PROVIDER terminates.
- e. This Agreement shall terminate automatically in the event that SERVICE PROVIDER's or its service provider's Agreement with the EBT Service Provider terminates for any reason.

6. Confidentiality of EBT System Information

- a. All information related to the issuance of Benefits and the Recipients shall be considered confidential information.
- b. Individually identifiable information relating to any Recipient or applicant for Benefits will be held confidential and will not be disclosed by MERCHANT, its directors, officers, employees or agents, without prior written approval of the State.
- c. The use of information obtained by MERCHANT in the performance of its duties under this Agreement will be limited to purposes directly connected with such duties.

7. **EBT Service Marks.** MERCHANT will adequately display the State's service marks or other Licensed marks, including the Quest mark, and other materials supplied by SERVICE PROVIDER, collectively the "Protected Marks," in accordance with the standards set by the State. MERCHANT will use the service marks only to indicate that Benefits are issued at MERCHANT's location(s) and will not indicate that SERVICE PROVIDER, the State or its EBT Service Provider endorses MERCHANT's goods or services. MERCHANT's right to use such service marks pursuant to this Agreement will continue only so long as this Agreement remains in effect or until MERCHANT is notified by SERVICE PROVIDER, the State or its EBT Service Provider to cease their use or display.

8. Miscellaneous

- a. **Amendments.** If any of these terms and conditions are found to conflict with Federal or state law, regulation or policy of the Rules, these terms and conditions are subject to reasonable amendment by SERVICE PROVIDER, the State or its EBT Service Provider to address such conflict upon sixty (60) days written notice to MERCHANT, provided that MERCHANT may, upon written notice, terminate this Agreement upon receipt of notice of such amendment.
- b. **State Action.** Nothing contained herein shall preclude the State from commencing appropriate administrative or legal action against MERCHANT or for making any referral for such action to any appropriate Federal, State, or local agency.
- c. **Reference to State.** Any references to State herein shall mean the State in which MERCHANT issues Benefits pursuant hereto. If MERCHANT issues Benefits in more than one State pursuant hereto, then the reference shall mean each such State severally, not jointly.

- d. **Assignment.** Any transfer or assignment of this Agreement by MERCHANT, by operation of law or otherwise, without Service Provider's prior written consent is voidable by Service Provider. For purposes of this Agreement, any transfer of voting control of MERCHANT or its parent shall be considered an assignment or transfer herof. Service Provider may assign or transfer this Agreement and their rights and obligations hereunder and may delegate their duties hereunder, in whole or in part, to any third party, whether in connection with a change in sponsorship, as set forth in the preceding sentence or otherwise, without the notice to or consent of MERCHANT.
- e. **Governing Law.** Service Provider has substantial facilities in the State of New York and many of the services provided under this Agreement are provided from these facilities. This Agreement shall be governed by and construed in accordance with the laws of the State of New York (without regard to its choice of law provisions). In performing its obligations under this Agreement, each party agrees to comply with all arising under or rated to this Agreement shall be in the appropriate state or federal court located in Suffolk County, New York. ALL PARTIES IRREVOCABLY WAIVE ANY AND ALL RIGHTS THEY MAY HAVE TO A TRIAL BY JURY IN ANY JUDICIAL PROCEEDING INVOLVING ANY CLAIM RELATING TO OR ARISING UNDER THIS AGREEMENT.

This Agreement shall become effective on the date last written below.

EBT Entitlement (check one)	
☐ EBT Cash Benefits Only	☐ EBT Cash Benefits and Food Stamps (Separate 7 digit FNS# required for EACH location)
FNS: 0926776	

EBT Fee Schedule	
EBT authorizations - food stamp and cash (18E-S)	\$ 0.19
EBT food stamp return (18I-S)	\$ 0.19
EBT balance inquiries (18H-S)	\$ 0.19
EBT declines (02X-S)	\$ 0.19

373362366990 RIYA CONVENIENCE LLC

(MERCHANT)

By: Mukesh Patel

Name: Mukeshchandra Patel

Date: 10/17/2024

PNC Merchant Services Company

(SERVICE PROVIDER)

By: _____

Name: _____

Date: _____